

AS THE MORNING sun casts a warm glow over Mumbai, where the 78-year-old home-grown automaker Tata Motors is headquartered, the streets slowly come alive with the sounds of horns honking and engines revving. In the past few decades, neither has the morning sun changed, nor the bustling sounds of Mumbai's streets. What has changed, though, is the fate of Tata Motors, part of the ₹21-lakh crore salt-to-software Tata group. The ₹2.75-lakh crore (consolidated FY22 revenues) commercial vehicles giant is now India's third-largest passenger vehicles (PV) maker as well. In FY23, its market share of 13.39 per cent is very close to second-placed Hyundai's 14.51 per cent. Plus, its growth rate (of vehicle sales) in this period is 46 per cent, compared to Hyundai's 9.6 per cent, giving it more than a sniffing chance of overtaking the Korean major.

The icing on the cake: on March 3, Tata Motors rolled out its five-millionth car, reflecting its long and successful journey. The milestone was achieved nearly 25 years after the company entered the passenger vehicles market in 1998. (It started life as a locomotive manufacturer—Tata Engineering and Locomotive Company or Telco—in 1945, and entered the commercial vehicles market in 1954.)

And now, the company has set its sights on the next 5 million cars, for which it has already charted out a road map. "The next 5 million is going to be much faster and very different from the previous 5 million," says Shailesh Chandra, MD of Tata Motors Passenger Vehicles and Tata Passenger Electric Mobility, who joined the company in 1995 as a production manager. Sitting in Pimpri near Pune, at Tata Motors' passenger vehicles factory, the soft-spoken Chandra's poised and confident presence commands attention. He points out that in the early days, the company would take more than five years to produce a million cars. But the last million took just 2.5 years. "This just shows how rapidly we've grown," he says. It does also show that the next 5 million will certainly be produced at a much faster rate, so long as the company can sustain the tremendous consumer demand its products are witnessing in the market. Plus, it needs to match rising competition in a very different car market compared to even a decade ago.

In 1998, Tata Motors gave India its first fully indigenous car, the Indica. Over the years, the company faced speed bumps like design flaws, the perception of a fleet car manufacturer, a political uproar over its proposed plant in Singur (West Bengal), and its much-hyped "world's cheapest car", the Nano—that proved to be a disaster. Although it has swerved from one crisis to another, nothing seems to have slowed it down. Today, ev-



IN TOP GEAR

▶ TATA MOTORS EXPECTS 20-25 PER CENT OF ITS NEXT 5 MILLION PASSENGER VEHICLES TO COME FROM THE ELECTRIC VEHICLES SEGMENT

▶ THE COMPANY IS WITHIN SNIFFING DISTANCE OF THE SECOND PLACED HYUNDAI MOTOR. IN FEBRUARY 2023, HYUNDAI SOLD 39,106 UNITS, A LITTLE MORE THAN THE 38,965 CARS THAT TATA MOTORS RETAILED

▶ TATA MOTORS IS AIMING FOR A MONTHLY CAPACITY OF 50,000 UNITS AT ALL ITS PV PLANTS BY THE END OF 2023

▶ ITS NEW RANGE OF PRODUCTS—TIAGO, TIGOR AND NEXON—THAT ARE AIMED AT THE NEW, YOUNGER SET OF CUSTOMERS, HAVE EVOKED VERY HEALTHY RESPONSE FROM BUYERS

▶ THE COMPANY'S FUTURE CHALLENGES WILL COME FROM ITS COMPETITION AGGRESSIVELY EYEING THE SUV AND EV SPACE